QUARTERLY BUSINESS REVIEW

Management Report

Date: July 17, 2026
Prepared By: Strategy & Operations
Period: Q3 2026

1. Executive Summary

The third quarter of 2026 marked a period of robust operational stability and sustained growth across core business segments. Despite emerging macroeconomic headwinds in the global supply chain, our proactive mitigation strategies have safeguarded operating margins and ensured continuous delivery to key enterprise accounts.

Overall revenue grew by 14.5% year-over-year, driven primarily by the successful launch of the new SaaS enterprise tier and expanded footprint in the APAC region. Customer churn rate decreased by 1.2%, signaling strong market reception of our enhanced customer success initiatives deployed earlier this year.

$14.2M	22.4%	+14.5%	98.2%
QUARTERLY REVENUE	NET PROFIT MARGIN	YOY GROWTH	CLIENT RETENTION

2. Financial Performance Overview

Financial performance for the quarter exceeded initial projections by 4.2%. Cost reduction programs implemented in Q1 have reached full maturity, contributing to a structurally lower OPEX baseline. Capital expenditure was temporarily elevated due to the datacenter modernization project, which is now 90% complete.

CATEGORY	Q3 2026 (ACTUAL)	Q3 2026 (TARGET)	VARIANCE	STATUS
Gross Revenue	$14,250,000	$13,800,000	+ $450,000	EXCEEDED
Cost of Goods Sold (COGS)	$4,850,000	$4,900,000	-$50,000	ON TRACK
Operating Expenses (OPEX)	$5,400,000	$5,100,000	+ $300,000	REVIEW REQD
EBITDA	$4,000,000	$3,800,000	+ $200,000	EXCEEDED

Note on OPEX Variance: The $300,000 OPEX overage was driven by unbudgeted legal and compliance fees associated with the accelerated European market entry. This is a one-time expense and will not impact Q4 run rates.

3. Strategic Initiatives Updates

Project Apex (Digital Transformation)

The transition to the unified cloud infrastructure is tracking ahead of schedule. We have successfully migrated 85% of legacy datasets with zero unplanned downtime. Expected completion is slated for Week 2 of Q4, which will unlock an estimated $1.2M in annual cloud storage savings.

Market Expansion: Asia-Pacific

The new regional headquarters in Singapore became fully operational in August. The sales pipeline in the region has grown to $4.5M in qualified leads within the first 60 days. Strategic partnerships with local logistics providers have been formalized, ensuring we can meet our 48-hour SLA for physical product delivery.

4. Key Risks and Mitigation

Management is actively monitoring several risk vectors that could impact performance over the next 6-12 months. Early identification and response remain our primary defense mechanisms.

- **Supply Chain Volatility:** Semiconductor shortages continue to affect hardware procurement lead times. *Mitigation:* We have diversified our supplier base to include three new Tier-1 manufacturers and increased our buffer inventory by 15%.
- **Talent Retention:** High attrition rates in the software engineering department present a risk to the product roadmap. *Mitigation:* HR is rolling out a revised equity compensation package in Q4 and implementing a hybrid-first work policy across all technical divisions.
- **Regulatory Changes:** Upcoming data privacy regulations in key markets require compliance auditing. *Mitigation:* The internal audit team is currently conducting gap analyses, supported by external legal counsel.

5. Q4 2026 Outlook

Looking ahead, we anticipate sustained momentum through the final quarter of the year. Historically, Q4 represents our strongest season for software renewals and enterprise upgrades. The leadership team remains focused on capital allocation efficiency, finalizing the integrations from recent technological upgrades, and positioning the organization for aggressive market share capture in FY2027.

Management will present the final 2027 Annual Operating Plan (AOP) for board approval during the November summit.